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LLP ACT

MCQ Booklet

(45 Questions)

1. Limited Liability Partnership act is an act for formation and regulation of _____

- A. Partnerships
- B. Limited Liability Partnership
- C. Corporate firm
- D. A and B
- E. A, B and C.

2. Limited Liability Partnership is a :

- A. Body corporate.
- B. Company.
- C. Partnership
- D. Firm.
- E. Corporation sole.

3. The provisions of partnership act are _____.

- A. Applicable to an LLP.
- B. Not applicable to an LLP.
- C. May apply to an LLP.
- D. May apply to an LLP if entered into an agreement.
- E. It is the discretion of designated partners.

4. The minimum number of partners in any LLP is?

- A. 2.
- B. 3.
- C. 4.
- D. 5.
- E. 7.

5. If the number of partners in an LLP is reduced below 2 and LLP carried out business for more than 6 months_____.

- A. LLP should immediately cease business
- B. LLP still can carry out business for further 6 months.
- C. The only partner shall be personally liable for obligations of LLP incurred during that period.
- D. The only partner shall not be personally liable for obligations of LLP during that period
- E. The only partner shall not be liable for obligations of LLP after a period of 6 months.

6. Minimum number of a designated partner in an LLP are_____.

- A. 2.
- B. 3.
- C. 4.
- D. 5.
- E. 7.

7. Out of the designated partners:

- A. Atleast one should be an indian resident.
- B. Atleast one should be subscribed to the incorporation document.
- C. Atleast one should be a woman.
- D. Atleast 2 should be indian residents.
- E. No such requirement.

8. Admission made by a partner of an LLP _

- A. Can be used as evidence against the firm.
- B. Can be used as evidence in favour of the firm only.
- C. Can be used as evidence against the firm if it is made in the ordinary course of business
- D. Can be used as evidence against the firm if it is concerning the affairs of the firm.
- E. Both C and D.

9. Every designated partner shall obtain a DIN from-?

- A. Central Government.
- B. State Government.
- C. Registry
- D. Registrar of companies.
- E. Company law tribunal.

10. A body corporate:

- A. Can become a member of an LLP.
- B. Cannot become a member of LLP.
- C. Is LLP itself.
- D. Both A and C.
- E. Both B and C.

11. Incorporation document of an LLP is provided under which section of LLP?

- A. S. 10.
- B. S.11.
- C. S 12.
- D. S. 13
- E. S. 14.

12. Incorporation document shall ____?

- A. be in any form as maybe prescribed.
- B. be in any form as may be prescribed but shall state the name of LLP.
- C. Shall state the address of registered office of LLP.
- D. Shall state proposed business of LLP.
- E. All of the above.

13. The name of LLP shall consist of-

- A. LLP.
- B. Limited Liability Partnership
- C. Both a and b
- D. Either a or b.
- E. No such rules for names of LLP are prescribed.

14. In an LLP agency-

- A. Does not exist.
- B. Exists in limited form
- C. Every partner is agent of other partners
- D. Every partner is agent of LLP
- E. Both C and D.

15. Contributions of a partner in an LLP are -

- A. Limited.
- B. Unlimited
- C. Determinate
- D. As per the LLP agreement
- E. As per the partner's requirements.

16. As per LLP act, body corporate includes -

- A. LLP registered under this act.
- B. LLP incorporated outside India
- C. Corporation sole.
- D. A and B
- E. A, B and C.

17. Which of the following features is not found in an LLP?

- A. A body corporate
- B. Perpetual succession.
- C. Legal entity separate from its partners.
- D. Change in partners of LLP shall not affect rights of LLP.
- E. None of the above

18. The designated partners are liable_____.

- A. For all the matters and things required to be done by LLP.
- B. To all the penalties imposed on the LLP.
- C. Filing of documents or return on behalf of LLP.
- D. A and C.
- E. A,B and C.

19. Incorporation document of an LLP has to be filed with-

- A. Registrar of companies
- B. Registrar of state
- C. Company law board.
- D. State government.
- E. Union government.

20. The incorporation document shall consist of a statement of an advocate, CA or CS that the LLP has complied with all the provisions of LLP act, person making false statement shall be punished with-

- A. 2 years imprisonment
- B. Fine upto 2 lakh rupees.
- C. Imprisonment upto 2 years and fine not less than 10 thousand and extend to 5 lakh rupees.

- D. Imprisonment upto 2 years and fine not less than 10 thousand and extend to 2 lakh rupees.
- E. Imprisonment upto 2 years and fine not less than 10 thousand and extend to 5 lakh rupees.

21. What is a financial year in case of an LLP?

- A. 1st April- 31st March
- B. 31st March- 30th April
- C. 1st April- 30th March
- D. 1st April- 30th September
- E. 30th September- 31st March

22. LLP means a partnership formed and registered under:

- A. formed under LLP act registered under LLP act
- B. formed under partnership registered under LLP act
- C. formed under LLP act registered under Companies act
- D. formed under partnership registered under companies act
- E. formed under LLP act registered under LLP act and Companies act.

23. The tribunal that is constituted for LLP disputes is:

- A. National Green Tribunal
- B. Debt Recovery Tribunal
- C. National Company Law Tribunal
- D. Partnership Tribunal
- E. Industrial Tribunal

24. Who among the following is not qualified to become a partner at LLP?

- A. he is of unsound mind
- B. he is an undischarged insolvent
- C. he has applied to be adjudicated as an insolvent and his application is pending
- D. both A and B
- E. A, B and C.

25. An LLP shall receive notices and official documents at:

- A. office of Designated partners
- B. its own registered office
- C. residence of the designated partners
- D. residence of any of the partners
- E. office or residence of any of the partners as decided mutually.

26. Penalty for improper use of words "limited liability partnership" or "LLP is:

- A. 50 thousand rupees
- B. 50 thousand to 1 lakh rupees
- C. 55 thousand to 5 lakh rupees
- D. 50 thousand to 5 lakh rupees
- E. 10 thousand to 1 lakh rupees

27. An LLP shall ensure that all official correspondences take place:

- A. at the registered office of LLP
- B. at the registered office of designated partners
- C. at the registered office of any of the partner
- D. A and B
- E. A, B and C.

28. Those who subscribe to the incorporation document of the LLP are it's:

- A. designated partners
- B. partners
- C. promoters
- D. incorporators
- E. acting partners.

29. The LLP agreement shall govern the relations between:

- A. LLP and it's partners
- B. Partners of LLP amongst themselves
- C. Partners of LLP with designated partners
- D. Partners with LLP and partners amongst themselves
- E. Partners and LLP with designated partners.

30. A person may cease to be a partner in an LLP by:

- A. giving notice of not less than 30 days to other partners
- B. in accordance with an agreement with the other partners
- C. in accordance with an agreement with designated partners
- D. in accordance with an agreement with the other partners as to cessation of being a partner and in absence of an agreement by giving a notice of not less than 60 days to other partners
- E. in accordance with an agreement with the other partners as to cessation of being a partner and in absence of an agreement by giving a notice of not less than 30 days to other partners.

31. Any person, who by words spoken or written or by conduct, represents himself, or knowingly permits himself to be represented to be a partner in a limited liability partnership_____.

- A. is liable under Holding out
- B. is not liable

- C. LLP is liable only
- D. is not liable as there is no concept of Holding out in LLP.
- E. is liable under Holding out and LLP is also liable to the extent of financial credit received if any,

32. The extent of Liability of LLP is mentioned under which section of the LLP Act?

- A. S. 27
- B. S. 25
- C. S.26
- D. S.24
- E. S. 23.

33. If a partner or employee of an LLP gives some valuable information which is helpful in investigation_____

- A. his penalty is reduced
- B. his penalty may be reduced
- C. his penalty may be waived
- D. his penalty shall be waived
- E. his penalty may be reduced or waived

34. What can be the form of contribution under LLP?

- A. tangible movable property
- B. tangible immovable property
- C. tangible, movable or immovable or intangible property
- D. money, promissory notes, other agreements to contribute cash or property, and contracts for services
- E. All of the above.

35. The obligation of a partner to contribute in an LLP shall be:

- A. as per LLP agreement
- B. as per the financial capacity of the partner
- C. as per the financial capacity of the LLP
- D. any of the above
- E. there is no such fixed obligation.

36. Any offence by LLP which is punishable with fine only, shall:

- A. be compoundable
- B. may be compoundable
- C. may be compoundable by payment of minimum amount of fine
- D. may be compoundable by payment of an amount of fine which may extend to maximum amount of fine and not be lower than minimum amount of fine
- E. shall be compoundable on an amount which is somewhat higher than the minimum amount of fine.

37. Which of the following partner's interests in an LLP are transferable?

- A. rights to share profit and losses of LLP
- B. rights to receive distributions in accordance with LLP agreement
- C. right to contributions irrespective of LLP agreement
- D. A and B
- E. A, B and C

38. Who may appoint inspector to investigate the affairs of an LLP?

- A. Partners
- B. Central Government
- C. State Government

- D. LLP
- E. Central Government in consultation with State Government.

39. Central Government may appoint how many Inspectors to investigate the affairs of an LLP?

- A. 1 or more
- B. 2 or more
- C. 3 or more
- D. 5 or more
- E. 1 only.

40. Who can be appointed as an inspector?

- A. any natural person
- B. any person
- C. anyone except a firm
- D. anyone except a firm, association
- E. anyone except a firm, body corporate or an association.

41. Which of the following statement is false about inspector?

- A. an inspector can be one or more
- B. an inspector is appointed by Central Government
- C. an inspector is appointed to do the auditing of LLP
- D. an inspector's report cannot be used as evidence
- E. C and D

42. Winding up of an LLP:

- A. can be voluntary
- B. cannot be voluntary
- C. can be voluntary only if Tribunal is satisfied
- D. can be voluntary if designated partners are satisfied
- E. cannot be voluntary in any case until, HC orders so

43. Partner of an LLP is an agent of LLP for:

- A. purpose of business of LLP
- B. business of partnership firm and LLP
- C. holding out
- D. any transaction relating to LLP
- E. any non-profit transaction relating to LLP.

44. Any partner of an LLP is:

- A. personally liable
- B. not personally liable
- C. personally liable for commercial profit to LLP
- D. personally liable in case of commercial loss to LLP.
- E. not personally liable except in case of his own wrongful act or omission.

45. In case of fraud there is unlimited liability, has been provided for under which section of LLP Act?

- A. S. 30
- B. S.20
- C. S. 27
- D. S.28
- E. S. 29.

Answer Key

1. Ans. A
Preamble of the Limited Liability Partnership act is-
An act to make provisions for the formulation and regulation of LLP and for matters connected therewith or incidental thereto.
2. Ans. A.
S.3. Limited liability partnership to be body corporate.
3. Ans. B.
S. 4. Non-applicability of the Indian Partnership Act, 1932.—
Save as otherwise provided, the provisions of the Indian Partnership Act, 1932 shall not apply to a limited liability partnership.
4. Ans. A.
S. 6. Minimum number of partners.—(1) Every limited liability partnership shall have at least two partners. (2) If at any time the number of partners of a limited liability partnership is reduced below two and the limited liability partnership carries on business for more than six months while the number is so reduced, the person, who is the only partner of the limited liability partnership during the time that it so carries on business after those six months and has the knowledge of the fact that it is carrying on business with him alone, shall be liable personally for the obligations of the limited liability partnership incurred during that period.
5. Ans. C.
S. 6. Minimum number of partners.
(1) Every limited liability partnership shall have at least two partners.
(2) If at any time the number of partners of a limited liability partnership is reduced below two and the limited liability partnership carries on business for more than six months while the number is so reduced, the person, who is the only partner of the limited liability partnership during the time that it so carries on business after those six months and has the knowledge of the fact that it is carrying on business with him alone, shall be liable personally for the obligations of the limited liability partnership incurred during that period.
6. Ans. A.
S. 7. Designated partners.—(1) Every limited liability partnership shall have at least two designated partners who are individuals and at least one of them shall be a resident in India:
7. Ans. A

S. 7. Designated partners .—

(1) Every limited liability partnership shall have at least two designated partners who are individuals and at least one of them shall be a resident in India.

8. Ans. E.

S.23 EFFECT OF ADMISSION BY A PARTNER.

An admission or representation made by a partner concerning the affairs of the firm is evidence against the firm, if it is made in the ordinary course of business.

9. Ans. A.

S. 7. Designated partners.

(6) Every designated partner of a limited liability partnership shall obtain a Designated Partner Identification Number (DPIN) from the Central Government and the provisions of sections 266A to 266G.

10. Ans. D

S. 5. Partners.—

Any individual or body corporate may be a partner in a limited liability partnership.

11. Ans. B.

S.11. Incorporation document.

12. Ans. E.

S. 11. Incorporation document.

(2) The incorporation document shall— (a) be in a form as may be prescribed; (b) state the name of the limited liability partnership; (c) state the proposed business of the limited liability partnership; (d) state the address of the registered office of the limited liability partnership; (e) state the name and address of each of the persons who are to be partners of the limited liability partnership on incorporation;

(f) state the name and address of the persons who are to be designated partners of the limited liability partnership on incorporation; (g) contain such other information concerning the proposed limited liability partnership as may be prescribed.

13. Ans. D.

S. 15. Name.—(1) Every limited liability partnership shall have either the words "limited liability partnership" or the acronym "LLP" as the last words of its name.

14. Ans. D.

S. 26. Partner as agent.—Every partner of a limited liability partnership is, for the purpose of the business of the limited liability partnership, the agent of the limited liability partnership, but not of other partners.

15. Ans. D.

S. 33. Obligation to contribute .—

(1) The obligation of a partner to contribute money or other property or other benefit or to perform services for a limited liability partnership shall be as per the limited liability partnership agreement.

16. Ans. D.

S. 2. (d) "body corporate" means a company as defined in section 3 of the Companies Act, 1956 and includes— (i) a limited liability partnership registered under this Act; (ii) a limited liability partnership incorporated outside India; and (iii) a company incorporated outside India

17. Ans. E.

S. 3. Limited liability partnership to be body corporate.—(1) A limited liability partnership is a body corporate formed and incorporated under this Act and is a legal entity separate from that of its partners. (2) A limited liability partnership shall have perpetual succession. (3) Any change in the partners of a limited liability partnership shall not affect the existence, rights or liabilities of the limited liability partnership.

18. Ans. E

S.8. Liabilities of designated partners.—

Unless expressly provided otherwise in this Act, a designated partner shall be— (a) responsible for the doing of all acts, matters and things as are required to be done by the limited liability partnership in respect of compliance of the provisions of this Act including filing of any document, return, statement and the like report pursuant to the provisions of this Act and as may be specified in the limited liability partnership agreement; and (b) liable to all penalties imposed on the limited liability partnership for any contravention of those provisions.

19. Ans. B.

S. 11(b) the incorporation document shall be filed in such manner and with such fees, as may be prescribed with the Registrar of the State in which the registered office of the limited liability partnership is to be situated;

20. Ans. C

S.11. Incorporation document.

(3) If a person makes a statement under clause (c) of sub-section (1) which he— (a) knows to be false; or (b) does not believe to be true, shall be punishable with imprisonment for a term which may extend to two years and with fine which shall not be less than ten thousand rupees but which may extend to five lakh rupees.

(c) there shall be filed along with the incorporation document, a statement in the prescribed form, made by either an advocate, or a Company Secretary or a Chartered Accountant or a Cost Accountant, who is engaged in the formation of the limited liability partnership and by anyone who subscribed his name to the incorporation document, that all the requirements of this Act and the rules made thereunder have been complied with, in respect of incorporation and matters precedent and incidental thereto.

21. Ans. A.

S. 2 (l) "financial year", in relation to a limited liability partnership, means the period from the 1st day of April of a year to the 31st day of March of the following year:

22. Ans. A.

S. 2 (n) "limited liability partnership" means a partnership formed and registered under this Act;

23. Ans. C

As per S. 2. (u) "Tribunal" means the National Company Law Tribunal constituted under section 408 of the Companies Act, 2013 (18 of 2013).

24. Ans. E.

S. 5. Partners.—Any individual or body corporate may be a partner in a limited liability partnership:

Provided that an individual shall not be capable of becoming a partner of a limited liability partnership, if—

(a) he has been found to be of unsound mind by a Court of competent jurisdiction and the finding is in force;

(b) he is an undischarged insolvent; or

(c) he has applied to be adjudicated as an insolvent and his application is pending

25. Ans. B.

S. 13. Registered office of limited liability partnership and change therein.—(1) Every limited liability partnership shall have a registered office to which all communications and notices may be addressed and where they shall be received.

26. Ans. D

S. 20. Penalty for improper use of words "limited liability partnership" or "LLP".—If any person or persons carry on business under any name or title of which the words "Limited Liability Partnership" or "LLP" or any contraction or imitation thereof is or are the last word or words, that person or each of those persons shall, unless duly incorporated as limited liability partnership, ***be punishable with fine which shall not be less than fifty thousand rupees but which may extend to five lakh rupees.***

27. Ans. A

S. 21. Publication of name and limited liability.—(1) Every limited liability partnership shall ensure that its invoices, official correspondence and publications bear the following, namely:—

(a) the name, address of its registered office and registration number of the limited liability partnership; and

(b) a statement that it is registered with limited liability.

(2) If the limited liability partnership contravenes the provisions of this section, the limited liability partnership shall be liable to a penalty of ten thousand rupees.

28. Ans. B

S. 22. Eligibility to be partners.—On the incorporation of a limited liability partnership, the persons who subscribed their names to the incorporation document shall be its partners and any other person may become a partner of the limited liability partnership by and in accordance with the limited liability partnership agreement.

29. Ans. D

S. 23. Relationship of partners.—(1) Save as otherwise provided by this Act, the mutual rights and duties of the partners of a limited liability partnership, and the mutual rights and duties of a limited liability partnership and its partners, shall be governed by the limited liability partnership agreement between the partners, or between the limited liability partnership and its partners.

30. Ans. E

S. 24. Cessation of partnership interest.—(1) A person may cease to be a partner of a limited liability partnership in accordance with an agreement with the other partners or, in the absence of agreement with the other partners as to cessation of being a partner, by

giving a notice in writing of not less than thirty days to the other partners of his intention to resign as partner.

31. Ans. E

S. 29. Holding out.—(1) Any person, who by words spoken or written or by conduct, represents himself, or knowingly permits himself to be represented to be a partner in a limited liability partnership is liable to any person who has on the faith of any such representation given credit to the limited liability partnership, whether the person representing himself or represented to be a partner does or does not know that the representation has reached the person so giving credit:

Provided that where any credit is received by the limited liability partnership as a result of such representation, the limited liability partnership shall, without prejudice to the liability of the person so representing himself or represented to be a partner, be liable to the extent of credit received by it or any financial benefit derived thereon.

(2) Where after a partner's death the business is continued in the same limited liability partnership name, the continued use of that name or of the deceased partner's name as a part thereof shall not of itself make his legal representative or his estate liable for any act of the limited liability partnership done after his death.

32. Ans. A

S. 27. Extent of liability of limited liability partnership.—(1) A limited liability partnership is not bound by anything done by a partner in dealing with a person if—

- (a) the partner in fact has no authority to act for the limited liability partnership in doing a particular act; and
- (b) the person knows that he has no authority or does not know or believe him to be a partner of the limited liability partnership.....

33. Ans. E.

S. 31. Whistle blowing.—(1) The Court or Tribunal may reduce or waive any penalty leviable against any partner or employee of a limited liability partnership, if it is satisfied that—

- (a) such partner or employee of a limited liability partnership has provided useful information during investigation of such limited liability partnership; or
- (b) when any information given by any partner or employee (whether or not during investigation) leads to limited liability partnership or any partner or employee of such limited liability partnership being convicted under this Act or any other Act.

34. Ans. E.

S. 32. Form of contribution.—(1) A contribution of a partner may consist of tangible, movable or immovable or intangible property or other benefit to the limited liability partnership, including money, promissory notes, other agreements to contribute cash or property, and contracts for services performed or to be performed.

35. Ans. A

S. 33. Obligation to contribute.—(1) The obligation of a partner to contribute money or other property or other benefit or to perform services for a limited liability partnership shall be as per the limited liability partnership agreement.

36. Ans. D.

S. 39. Compounding of offences.—(1) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), the Regional Director or any other officer not below the rank of Regional Director authorised by the Central Government may compound any offence under this Act which is punishable with fine only, by collecting from a person reasonably suspected of having committed the offence, a sum which may extend to the amount of the maximum fine provided for the offence but shall not be lower than the minimum amount provided for the offence.

37. Ans. D.

S. 42. Partner's transferable interest.—(1) The rights of a partner to a share of the profits and losses of the limited liability partnership and to receive distributions in accordance with the limited liability partnership agreement are transferable either wholly or in part.

38. Ans. B

S. 43. Investigation of the affairs of limited liability partnership.—(1) **The Central Government shall appoint one or more competent persons as inspectors** to investigate the affairs of a limited liability partnership and to report thereon.....

39. Ans. A.

S. 43. Investigation of the affairs of limited liability partnership.—(1) The Central Government shall appoint one or more competent persons as inspectors to investigate the affairs of a limited liability partnership and to report thereon.

40. Ans. E.

S. 45. Firm, body corporate or association not to be appointed as inspector.—No firm, body corporate or other association shall be appointed as an inspector.

41. Ans. E

S. 54. Inspector's report to be evidence.—A copy of any report of any inspector or inspectors appointed under the provisions of this Act, authenticated in such manner, if any, as may be prescribed, shall be admissible in any legal proceeding as evidence in relation to any matter contained in the report.

42. Ans. A.

S. 63. Winding up and dissolution.—The winding up of a limited liability partnership may be either voluntary or by the Tribunal and limited liability partnership, so wound up may be dissolved.

43. Ans. A.

S. 26. Partner as agent.—Every partner of a limited liability partnership is, for the purpose of the business of the limited liability partnership, the agent of the limited liability partnership, but not of other partners.

44. Ans. E

S. 28. Extent of liability of partner.—(1) A partner is not personally liable, directly or indirectly for an obligation referred to in sub-section (3) of section 27 solely by reason of being a partner of the limited liability partnership.

(2) The provisions of sub-section (3) of section 27 and sub-section (1) of this section shall not affect the personal liability of a partner for his own wrongful act or omission, but a partner shall not be personally liable for the wrongful act or omission of any other partner of the limited liability partnership

45. Ans. A.

S. 30. Unlimited liability in case of fraud.